

Part 1: True/False Items

Read the following statements and answer "True" if the statement is correct, or answer "False" if the statement is wrong and provide your answer in the space provided. (1 mark each)

1. The concept of innovation is the ability to develop new ideas and to discover new ways of looking at problems and opportunities. ✕
2. Business plan provides a structure for communicating the entrepreneur's mission to current and prospective employee of the firm.
3. Entrepreneurs are the founders of today's business success.
4. Small business is generally capital intensive and only few are labor intensive
5. The operational plan indicates the pattern of flow of responsibilities and duties amongst people in the organization.
6. While capital is needed throughout the life of business, the entrepreneur faces significant difficulties in acquiring capital at start-up.
7. Equity financing requires the entrepreneur to pay back the amount of funds borrowed as well as a fee expressed in terms of interest rate
8. Entrepreneurship helps us to make use of different natural resources in Ethiopia
9. A patent is a grant of property right by the government to an inventor. Anything that is patentable must be new and useful.
10. Using the existing companies as source of new ideas brings the way to improve on these offerings that may result in a new product that has more market appeal.

Part II: Multiple Choice Items

Read the following statements and choose **the best answer** and write the answer in the provided place using *Capital letters*. (1 marks each)

1. One of the following character represents a personal characteristic that a successful entrepreneur **may not** exhibit is.
- A. Self confidence ✓ C. Hard work ✓
B. Risk aversion D. Passion ✓
2. The economic criteria used to classify businesses as small, medium and large scale refers to:
- A. Number of employees and value of sales turnover ✓ C. Asset size, and volume of deposits
B. Market share ✓ D. Volume/value of production

3. Which one of the following marketing strategies is not the core element for the existence of Entrepreneurs?

- A. Product
- B. Price
- C. Promotion
- D. Trade mark

4. Which one of the following statements does not reflect the contribution of entrepreneurs to the society?

- A. Employment
- B. Independence
- C. Balanced development
- D. Equitable distribution of wealth

5. The ultimate goal of marketing in small business context is _____.

- A. Facilitating effective exchange
- B. Facilitating money generation
- C. Facilitating construction
- D. Facilitate globalization

6. The stage of new product development at which product prototype or sample may be developed is

- A. Product development
- B. Market testing
- C. Commercialization
- D. Equitable distribution of wealth

7. An entrepreneur's belief that his destiny is within his control and external forces will have little influence is demonstrated by one of the following characteristics

- A. Risk taking
- B. Hard working
- C. Internal locus of control
- D. External locus of control

8. Which one of the following statements is incorrect about entrepreneur?

- A. Who has the ability to see and evaluate business opportunities
- B. Who has the ability to gather the necessary resources, to take advantage of opportunities
- C. Who has the ability to take risk and initiate appropriate action to ensure success
- D. None of the above

9. The marketing strategy that adds place and time utility is _____.

- A. Product development
- B. Distribution
- C. Pricing
- D. Promotion

10. The first step in developing a written business plan is _____.

- A. Location selection
- B. Financial statement preparation
- C. Identifying and evaluating a business idea
- D. All of the above

11. Which of the following statement is/are not a success factor for small business?

- A. Effective and efficient management
- B. Proper location, layout and size
- C. Adequate finance
- D. Ambiguous objectives

12. From the core concepts of marketing, customer ability and willingness to buy can be represented by _____.

- A. Need X
- B. Demand
- C. Want X
- D. Transaction X

13. Capital invested in a business by its owners is called _____.
- A. Venture capital C. Commercial loan
B. Equity financing D. Financial companies
14. Which one of the following plan types represents a comprehensive set of guideline for a new venture?
- A. A business plan C. Operational plan
B. Feasibility plan D. Marketing plan
15. Mr. Alemu is an innovative entrepreneur with greater confidence. In each of his endeavor, he never consults with anybody or never does marketing research assuming that he is all rounded personality. The most probable characteristics that might be attributed to Mr. Alemu is:
- A. Egocentric C. Inexperienced *
B. Poor business philosophy D. Poor financial control *
16. The most important function of an entrepreneur is:
- A. Risk assumption C. Innovation
B. Managerial function D. All
17. Mr. Dancil developed a new accounting software program and transferred it to steel company and receiving company is protected by law. So what type of grant does Mr Danel transfer to this steel company?
- A. Patent right B. Copy right C. Trade mark D. Product
18. The process of dividing the universe of buyers into more homogeneous sub-group based on their similar characteristics is _____?
- A. Market segmentation C. Market positioning
B. Market differentiation D. Market promotion *
19. The act of communication which provides basic information to the customers is known as:
- A. Distribution C. Franchise
B. Promotion D. Joint venture
20. Why entrepreneurial career is not considered to be more attractive than wage employment?
- A. Training and development C. Helps to realize your dream
B. Helps to create massive wealth D. Helps to control your destiny

21. Why test marketing as the new product development process is carried out?
- A. To escalate the uncertainty of a successful commercialization ✗
 - B. To increase the risks of competitors ✗
 - C. To use different kinds of promotional mix ✗
 - D. To increase the certainty of successful commercialization ✓
22. Which one of the following technique is useful for generating ideas?
- A. Brain storming ✓
 - B. Customers
 - C. Focus group discussion
 - D. All of the above
23. The production of goods is easier than the production of services for startup business. This can be justified with the following reasons _____.
- A. Goods production can easily be formulated. ✗
 - B. Goods production involves at most human involvement. ✓
 - C. Services production can easily be tangibilized. ✗
 - D. Services production require the simultaneous presence of producer and consumer.
24. One of the following is not true about product life cycle.
- A. It promotes the idea that tests and preferences of buyers expire. ✓
 - B. It reminds entrepreneurs should invest on their research and development.
 - C. Innovations have unlimited life in the industry. ✗
 - D. Sales and profit varies across time. ✓

Part III: Short answer items: Read the following concepts and provide short answer for each of them (10 marks)

1. List and explain elements of the marketing philosophy. (3 pts)
2. Identify and describe at least four causes of small business failure. (3pts)
3. List and discuss the product development stages briefly. (4 pts)

Part IV: Cases: Read the following case and answer the question given at the end. (5 pts)
Sole Rebels (story adapted from www.forbes.com)

Entrepreneur Bethlehem Tilahun Alemu was born and raised in Zenebework, a small, impoverished rural community in Addis-Ababa, Ethiopia. While most people in her neighborhood were unemployed, Bethlehem discovered that several of them possessed remarkable artisan skills which remained largely unexploited. This observation drove her to brainstorm on ways through which she could transform the skills of her community members into a sustainable enterprise that could generate livelihoods for them, and create wealth over the long term.

By 2004, armed with startup capital sourced from her husband and members of her immediate family, Bethlehem mobilized artistically-gifted members of her community and founded Sole Rebels- which has become one of Africa's most recognizable footwear manufacturers.



perseverance

opportunity seeking & identification

Information seeking

Risk taking

Basically, Sole Rebels produces footwear locally that often features a strong infusion of ancient Ethiopian culture with subtle undertones of modern, western design influences. Practically, all Sole Rebels shoes are redesigns and imaginations of the famous *Selate* and *Barabasso* shoe, a traditional recycled tire sole shoe which has been worn by Ethiopians for a very long time. By blending this ancient recycling tradition with contemporary, western-influenced, hip shoe designs, Sole Rebels has built a successful footwear brand utilizing a production process that is zero carbon production and very eco-sensitive. All of Sole Rebels shoes are hand-crafted by Bethlehem's staff of over 100 people strictly using Ethiopian craft practices such as hand-spun organic cotton and artisan hand-loomed fabric. And the company sources all of its raw materials locally.

Today, shoes under the Sole Rebels brand are sold in over 30 countries around the world and through various e-commerce sites like Amazon and Endless. Sole Rebels also sells its products through its own e-commerce site.

Question: Identify and discuss at least five qualities of this entrepreneur.

Answer Sheet

Exam Date: August 05, 2022

Full Name: [REDACTED]

ID. N: [REDACTED]

Section: [REDACTED]

Part I: True / False

1. False ✓	2. True ✓	3. True ✓	4. False ✓	5. True ✓
6. True ✓	7. False ✓	8. True ✓	9. True ✓	10. True ✓

Part II: Multiple choose

1. B ✓	2. B ✓	3. D ✓	4. B ✓	5. A ✓
6. A ✓	7. C ✓	8. D ✓	9. B ✓	10. C ✓
11. D ✓	12. B ✓	13. B ✓	14. A ✓	15. A ✓
16. D ✓	17. A ✓	18. A ✓	19. B ✓	20. A ✓
21. D ✓	22. D ✓	23. D ✓	24. C ✓	25. [REDACTED]

Part III: Short Answer

1. Elements of marketing philosophies.

- Production concept :- its about providing wide range of products at low cost.
- Product concept :- customer will buy products that have high quality, performance & innovative features.
- Sales concept :- it involves aggressive selling & promotion of large volume existing products.
- Market concept :- It involves that the products should be based on customers satisfaction & need.
- Socio-marketing concept :- It has similar features as market concept but it considers societal wellbeing.
- Relationship marketing concept :- It involves long term satisfaction between suppliers, distributors, customers, etc.

② four causes of small business failure

- when the person tries to do all the work & doing the work
- when the person neglects the business & involve in another venture
- when there is inadequate financing for the business
- when the person avoids ^{working} long hours of hardwork

28. For exchange to take place
- A) There must be at least two parties
 - B) Each party must have something of value to offer
 - C) Each party must be capable of communicating and delivering
 - D) Each party must be able to accept or reject the exchange offer
 - E) Each party must feel that it is appropriate or desirable to deal with other party
 - F) All of the above
29. The last phase in the product development process is
- A) Incubation
 - B) Idea generation
 - C) Implementation
 - D) Diffusion
 - E) Test marketing
30. Which of the following statements is correct?
- A) Marketing is the term used to refer only to the sales function within a firm.
 - B) Marketing managers usually don't get involved in production or distribution decisions
 - C) Marketing is an activity that considers only the needs of the organization, not the needs of the society as a whole
 - D) Marketing is the activity, set of institutions, and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society at large.
31. Which of the following is not an element of the marketing mix?
- A) Distribution
 - B) Target market
 - C. Product
 - D. Pricing
32. _____ is the act of obtaining a desired object from someone by offering something in return.
- A) Marketing
 - B) Selling
 - C. Transaction
 - D. Exchange
33. _____ is the process of dividing a potential market into distinct sub-markets of consumers with common needs and characteristics.
- A) Market segmentation
 - B) Target marketing
 - C. Positioning
 - D. Direct marketing
34. Which of the following statements is true about relationship marketing?
- A) Business suppliers use social networking sites sparingly as these sites discourage businesses from shopping for all their needs.
 - B) Relationship marketing has become more important than before because competition is becoming more intense.
 - C) Loyal customers are less profitable than those who are price sensitive and perceive no difference among brands or suppliers.

- D) For many suppliers, retaining their current customers has become a secondary focus in relationship marketing.
35. All of the following are conditions of an exchange except:
 A) Each party is free to accept or reject the exchange offer
 B) At least two parties are required
 C) Each party has something that might be of value to the other party
 D) Money is the medium of exchange
36. Which one of the following is true about the production philosophy of marketing management philosophy?
 A) It does not apply to services
 B) Is based on the belief that people will buy more goods and services if aggressive sales techniques are used irrespective of their needs
 C) Overlooks the internal capabilities of an organization
 D) Does not consider whether the goods and services that a firm produces most efficiently meet the needs of the marketplace
37. One is not the common source of equity funding
 A) Business Angels
 B) Venture Capital
 C. Guaranteed Loans
 D. Initial Public Offering
38. A contractor who is unable to buy casting machines for his medium finance need is now considering to borrow those machines from a borrower as a result he will possess those machines at the time while the contract ends. This source of finance is known as:
 A) Hire purchase
 B) Personal sources
 C. Leasing
 D. A & C
 E. None
39. Capital invested in a business by its owners, called?
 A) Venture capital
 B) Commercial Banks
 C. Equity financing
 D. Finance Companies
 E. B and C
40. Among the following, which one is the source of funding that requires collateral?
 A) Leasing
 B. Bank Loan
 C. Venture Capital
 D. Equity Financing
41. Capital invested in a business by its owners, called;
 A) Venture capital
 B) Equity financing
 C) Commercial loan
 D) Financial companies
 E) B and C
42. Which one of the following is financial measure of growth?
 A) Number of customers served

- B) Increase in capital
- C) Types of products offered.
- D) Number of outlets opened
- E) The number of employees

43. If you are looking to commence a new business and undertake professional business plan, you need to ensure that the plan has to be developed in the context of attaining the following objective except?

- A) Objectively evaluate the prospects of business
- B) Monitor the progress after implementing the plan
- C) Persuade others to join the business
- D) Seek loans from financial institutions
- E) Visualize the concept in terms of marketing availability, organizational, operational and financial feasibility
- F) None

44. A(n) _____ is a structured and systematic analysis of the attainability and possibility of the proposed business from both internal and external factors?

- A) Environmental assessment
- B) Feasibility study
- C) Strategic outlook
- D) Sensitivity analysis
- E) None

45. The External Environmental Analysis (Opportunity and Threat Analysis) Process of Business Environment Analysis has to pass through sequential stages, which of the following s alternative has contained the right sequence?

- A) Assessing, Scanning, Monitoring, and Forecasting
- B) Forecasting, Assessing, Scanning, and Monitoring
- C) Monitoring, Forecasting, Assessing, and Scanning
- D) Scanning, Monitoring, Assessing and Forecasting
- E) Scanning, Monitoring, Forecasting and Assessing
- F) None

- C) Idea screening
 - D) Test marketing
 - E) Commercialization
22. The step that deals with market entry timing or entry options in new product development process is
- A) Business analysis
 - B) Idea generating
 - C) Idea screening
 - D) Test marketing
 - E) Commercialization
23. The step in the product development process that classifies ideas into promising ideas, marginal ideas and rejects is
- A) Business analysis
 - B) Idea generating
 - C) Idea screening
 - D) Test marketing
 - E) Commercialization
24. _____ is the process through which companies react to market signals, respond to changes in customer demand, adopt new technologies, foray into new areas, and ensure continuous growth.
- A) Business analysis
 - B) Product development
 - C) Idea screening
 - D) Test marketing
 - E) Commercialization
25. One of the following may not be the primary prospects of companies when they develop new products to their target market
- A) Early adapters
 - B) Heavy users
 - C) Opinion leaders
 - D) Researchers
 - E) All of the above
26. The activity for creating, communicating, delivering and exchanging offerings that benefit the organization, its stakeholders and society at large is referred to as:
- A. Marketing
 - B. Advertising and promotion
 - C. creative planning
 - D. Consumerism
27. Which of the following marketing management philosophy is most applicable when demand is higher than supply?
- A) Product concept
 - B) Production concept
 - C. The selling concept
 - D. The marketing concept

part II: True or false

1. Radical innovation can threaten to transform the industry itself by destroying the existing market and thus creating the next great waves. True
2. Locus of control refers to the faith an entrepreneurs have in their ability to determine their own success? True
3. Finding raw materials with good quality at reasonable prices in the field of production is one of the Ethiopian small business's problems.
4. Leasing provides the immediate use of the asset and ownership of it provided that, payments according to the agreement be made.
5. Equity financing is a financing method involving interest-bearing instrument.

7. In case of operating lease, the lesser usually provides advice to the lessee for repair, maintenance and technical knowhow of the leased asset and that is why this type of lease is also known as _____ lease.
- Finance
 - Local
 - Service
 - Contract
8. In Marketing Research Process, 'blueprint' is a term related to which Step?
- Step 1: Define the research purpose or objectives;
 - Step 2: Research Design Formulation;
 - Step 3 & 4: Gather Secondary and Primary Data;
 - Step 5: Data Processing and Analysis
 - Step 6: Report Preparations and Presentation;
9. Choose the Psychological pricing method based on the belief that certain prices or price ranges are more appealing to buyers. This method involves setting a price in odd numbers (just under round even numbers) such as \$49.95 instead of \$50.00. Although not supported by any research findings, its proponents claim that the consumers see a \$49.95 price as 'just in the price range of \$40' rather than in the \$50.
- Price Skimming
 - Penetration Pricing
 - Cost-plus pricing
 - Odd-even pricing
10. The small business owner needs to be aware of the criteria bankers use in evaluating the credit worthiness of loan applications. Most bankers refer to the five C's of credit in making lending decision. The five C's are:
- Capital, capacity, collateral, character, and conditions
 - Capital, courage, collateral, character, and conditions
 - Cash, courage, collateral, character, and conditions
 - Capital, customer, collateral, character and conditions
11. Form of a business owned by more than one individual and the owners have unlimited liability is known as:
- Proprietorship
 - Corporation
 - Partnership
 - stockholder
12. One of the following is not from economic/control factors that differentiate small business from other business:
- Market share
 - Independence
 - Technology
 - Personalized management
13. The Evaluation stage of entrepreneurial process deals with:
- Identifying a problem and potential solution
 - Forming the enterprise and implementing entrepreneurial strategy

- C) Determining the feasibility of the business
- D) Creatively identifying entrepreneurial opportunities

14. One of the following is not included in the three key stages of entrepreneurial process of launching a new venture:

- A. Discovery
- B. Evaluation
- C. Implementation
- D. Exploration

15. The following are macro environments that are not immediate part of the entrepreneurs' venture except:

- A. Human Resource
- B. Politics
- C. Economy
- D. Technology

16. When an enterprise becomes competent in price, quality and supply and increases its total asset and human resource therefore; it is on _____ stage.

- A. Start-up
- B. Growth
- C. Maturity
- D. Growth-medium level

17. In designing an organization, assigning jobs and identifying job relationships is known as:

- A. Reward
- B. Selection
- C. Structure
- D. Training

18. According to the intellectual property systems in Ethiopia, which one of the following is not acceptable to patentability right

- A) Biological process
- B) Computer program
- C) Scientific theory
- D) All of the above
- E) None of the above

19. Copyrights are applicable for all but

- A) Literary work
- B) Dramatic Work
- C) Movies
- D) Process design
- E) Computer software

20. Which step of effective innovation process in an organization guides the product development processes

- A) Idea generation
- B) New product strategy
- C) Idea screening
- D) Marketing strategy
- E) Commercialization

21. The step that deals with estimation of sales, cost and profit volume in the new product development process is

- A) Business analysis
- B) Idea generating

Part I: Multiple Choices: Choose the correct answer and write on the answer sheet attached

1. Even though there are many models that advocate what the product/service generation process should look like, we shall adopt four distinct stages. These stages can be referred to as: Choose the incorrect answer:
A) Idea Generation
B) Incubation
C) Implementation
D) Diffusion
E) Expansion
2. To address the issues and concerns of those who read a prospectus, all of the following should be considered in the preparation of the plan, except:
A) The marketing perspective
B) The investor's perspective
C) The entrepreneur's perspective
D) Reliable intruder's perspective
E) None of the above
3. When a company introduces a line of food in response to customer demand, it is following which one of the following philosophies?
A) selling concept
B) production concept
C) retailing concept
D) marketing concept
E) segmentation concept
4. In the Idea Screening, the purpose is to lessen the number of ideas to few vital/valuable ideas. The ideas should be written down and reviewed each week by an idea committee who should sort the ideas into three groups. Find the odd one which is not part of this group.
A. Promising Ideas B. Marginal Ideas; C. Rejects; D. Exempts;
5. It is the right given to prevent others from printing, copying or publishing any original works of authorship.
A. Patent B. Trademarks C. None of the above D. Copyrights
6. Which one of the following is under the domain of intellectual property rights?
A) Processes
B) Machines
C) Manufactures
D) Composition matters
E) All of the above

Part III: Short Answer (2 Points each)

1. List and describe at least the four types of innovation

2. List and describe at least five essential components of business plan

3. Critically explain the stages of new product development process

4. Discuss the two types of Lease

5. Discuss the major characteristics of service which differentiate, service from physical product
